

You have been hired to calculate the total labor cost for a technician who assembles computers. The technician's annual salary is £25,000, and the employer's social security contribution is 12% of the salary. The technician works 1,500 hours per year. Additionally, the company has overheads of £70,500, and three technicians are working in the company.

Using the following methods, calculate the cost of labor per hour:

1. **Direct Cost Method:**

Calculate the hourly labor cost by considering the salary and employer's social security contribution only.

2. **Fixed Overhead Allocation Method:**

Calculate the hourly labor cost by distributing the total overhead equally across all units produced.

3. **Overhead Proportional to Hours of Labor Method:**

Allocate the overhead proportionally to the number of hours worked by the technician. Then, calculate the total cost of labor per hour.

You have been hired to calculate the total labor cost for technicians assembling computers under two plans. The technicians are paid an annual salary of **£30,000**, and the employer's social security contribution is **10%** of the salary. Each technician works **1,600 hours** per year. The company has a total overhead of **£90,000**, and 4 technicians are working across both plans.

Using the following methods, calculate the cost of labor per hour for **both plans**:

1. **Direct Cost Method**

Calculate the hourly labor cost by considering only the salary and employer's social security contribution.

2. **Fixed Overhead Allocation Method**

Calculate the hourly labor cost by distributing the total overhead equally across both plans and all workers.

3. **Overhead Proportional to Hours of Labor Method**

Allocate the overhead proportionally to the number of hours worked by each technician. Then, calculate the total cost of labor per hour.